

Future State Recommendations

NorthStar Manufacturing - Invoice Approval Process Optimization

Recommended Future-State Direction

NorthStar should move from an email-and-spreadsheet approval process to a standardized, governed, workflow-enabled process. The recommended path is phased so the organization improves controls and visibility before committing to a long-term technology platform.

Future-State Design Principles

- Use one controlled invoice intake channel.
- Maintain one operational source of truth for invoice status.
- Route approvals using current department ownership and dollar thresholds.
- Flag non-PO invoices and exceptions early.
- Give approvers a clear queue, due date, and action required.
- Automate reminders and escalations to reduce AP follow-up.
- Store approval evidence centrally with timestamp, approver, decision, and comments.
- Provide leadership dashboards for aging, overdue approvals, workload, cycle time, and payment risk.

Future-State Process

Step	Future-State Activity	Owner	Improvement
1	Vendor submits invoice to controlled intake channel.	Vendor	Standardizes invoice receipt.
2	Invoice is logged in centralized tracker, workflow tool, or ERP workflow.	AP/System	Creates visibility and status ownership.
3	Invoice details are captured and validated.	AP/System	Reduces missing information and manual error.
4	PO-backed invoices are matched or verified.	AP/System	Improves control over PO invoices.
5	Non-PO invoices are flagged for additional review.	AP/System	Separates higher-risk work.
6	Exceptions are categorized and assigned.	AP	Enables reporting and faster correction.
7	Workflow identifies approver based on department and invoice amount.	System	Reduces manual routing.
8	Approver receives task with due date.	System/Approver	Creates accountability.
9	Approver approves, rejects, or requests clarification.	Manager/Director/Finance Director	Standardizes decisions and evidence.
10	Reminder is sent based on SLA timing.	System	Reduces AP follow-up.
11	Overdue invoice escalates according to rules.	System/Finance	Prevents stalled invoices.
12	Approved invoice moves to Accounting queue with required documentation.	System/AP	Improves handoff quality.

Step	Future-State Activity	Owner	Improvement
13	Accounting validates and schedules payment in Dynamics 365.	Accounting	Supports payment readiness.
14	Records are archived centrally.	System/AP/Accounting	Improves audit readiness.
15	Dashboard updates KPI reporting.	System/Finance	Improves leadership visibility.

Future-State Swimlane

Step	Vendor	AP Analyst	Workflow/System	Approver	Accounting	Finance
Submit	Sends invoice					
Capture/Log		Reviews intake	Creates invoice record			
Validate		Validates required fields	Flags missing data			
PO/Exception		Reviews PO status	Flags non-PO and exception type			
Route		Reviews exceptions as needed	Routes by department and amount	Receives approval task		
Approve/Reject			Captures decision	Approves/rejects with comments		
Reminder/Escalation			Sends reminder/escalation	Responds to task		Monitors risk
Handoff		Confirms payment-ready package	Moves to Accounting queue		Receives invoice	
Payment					Processes in Dynamics	
Reporting			Updates dashboard			Reviews KPIs

Phased Recommendations

Phase	Recommendation	Why
Phase 1: Standardize	Update approval policy, clean matrix, define SLAs, standardize tracker, create exception categories, and launch weekly aging report.	Automation cannot succeed if routing rules and ownership are unclear.
Phase 2: Automate	Automate routing, approval queues, reminders, escalations, audit trail capture, and dashboard reporting.	Reduces manual AP coordination and improves accountability.
Phase 3: Platform decision	Assess Dynamics 365 workflow configuration versus AP automation software.	Selects the most scalable and integrated long-term solution.

Automation Opportunities

Opportunity	Phase	Expected Benefit
Aging formulas and overdue flags in tracker	Phase 1	Immediate visibility into approval delays.
Standard email templates	Phase 1	Consistent communication while still using Outlook.
Exception reason codes	Phase 1	Improves root cause reporting.
Automated routing	Phase 2	Reduces AP effort and routing errors.

Opportunity	Phase	Expected Benefit
Approval queue	Phase 2	Reduces lost emails and improves manager visibility.
Automated reminders	Phase 2	Reduces AP follow-up burden.
Escalation workflow	Phase 2	Prevents invoices from remaining stuck.
Duplicate invoice detection	Phase 2	Improves financial controls.
Dynamics 365 workflow	Phase 3	Connects approval and accounting data if feasible.
AP automation software	Phase 3	Supports invoice capture, matching, approval, and reporting at scale.
AI/OCR invoice capture	Phase 3	Reduces manual entry of invoice fields.

Recommendation Summary

The future-state process should remove AP from the role of manual workflow coordinator. AP should focus on validation, exceptions, and payment readiness, while standardized rules and workflow automation manage routing, reminders, escalations, evidence capture, and reporting.